

MONTERREY INDUSTRIAL MARKET Q1 2025



ABSORPTION REPORT [SQUARE FEET]



EXECUTIVE SUMMARY

Monterrey is a city and capital of the state of Nuevo Leon considered the commercial epicenter of Mexico. Nuevo Leon has a GDP per capita almost three times higher than the national average, and is home to more than 200 industrial parks -the largest network in Mexico-, in industries such as logistics services, aerospace, appliances and healthcare; as well as its geographic proximity to the United States.

Monterrey is Mexico's second largest metropolitan area with a population of 5.34 million. It is home to industrial, business and commercial activities. The city's economy is characterized for being the cradle of the most important national and international companies in Mexico.

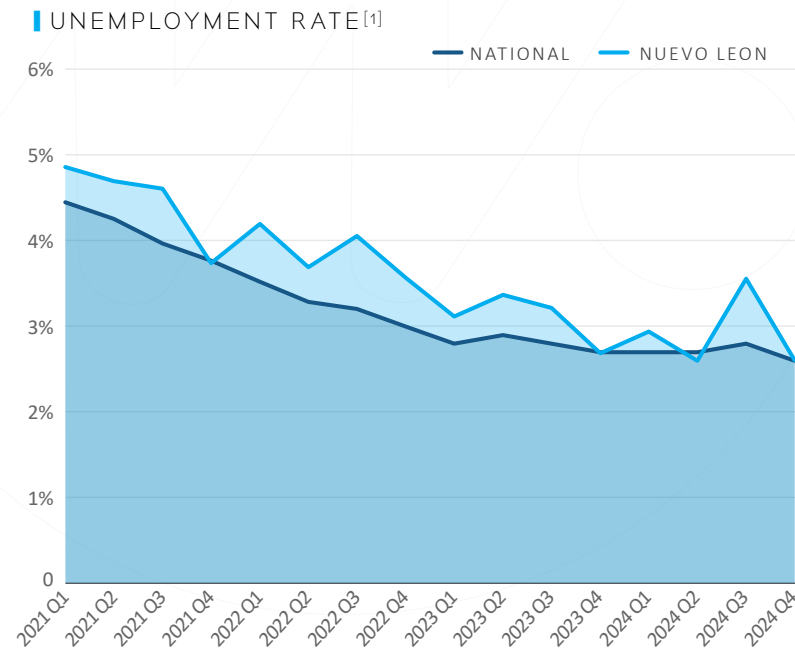
From January to December 2024, the main countries of origin of FDI in Nuevo León were South Korea, the United States and the Netherlands.

Among the competitive advantages of this market is the fact that it has more

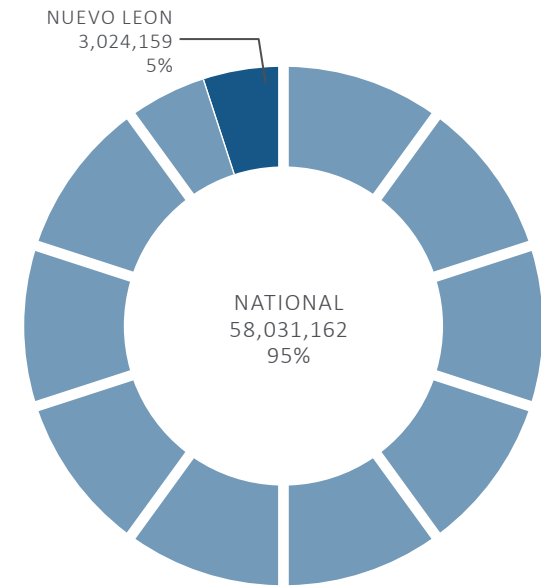
- In the first quarter of the year, as usual, Monterrey was the market with the highest gross absorption of industrial space in the country, with 16 consolidated transactions.

ECONOMIC OUTLOOK

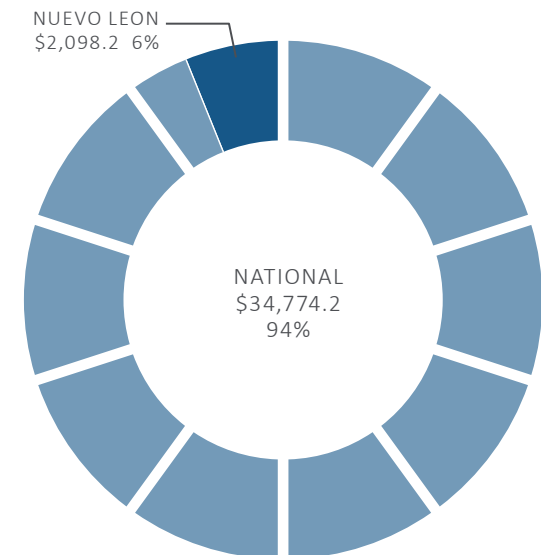
Nuevo León ranks fourth in attracting Foreign Direct Investment at the national level, accounting for 5.7% of the total. It is also the preferred location for Asian companies to establish their production and logistic plants.



ECONOMICALLY ACTIVE POPULATION^[1]



FOREIGN DIRECT INVESTMENT^[2] [MILLION DOLLARS]



Sources: [1] Encuesta Nacional de Ocupación y Empleo (ENOE) INEGI

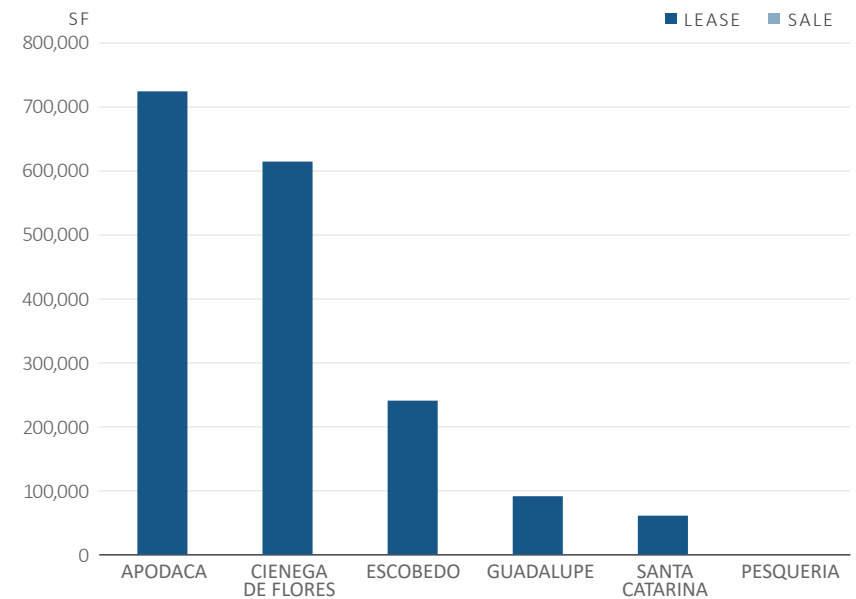
[2] Comisión Nacional de Inversiones Extranjeras

MARKET STATISTICS

Monterrey continues to be the most important industrial market in the country, and it is precisely the high demand for industrial space that has generated an increase in projects under construction in this market as well as the delivery of new buildings.

	Q1 2025	COMPARISON Q1 2025 VS Q1 2024	Q1 2024
TOTAL MARKET SIZE	147.25M SF	▼	148.77M SF
NET ABSORPTION	298,338 SF	▼	4.47M SF
GROSS ABSORPTION	1.72M SF	▼	5.07M SF
AVAILABLE	7.47M SF	▲	1.35M SF
VACANCY (Class A & B)	5.08%	▲	0.91%
UNDER CONSTRUCTION SPECULATIVE	11.17M SF	▲	7.16M SF
UNDER CONSTRUCTION BTS	505,908 SF	▼	2.87M SF
AVERAGE ASKING PRICE (US\$/SF/Mo)	\$0.63 - \$0.68	▲	\$0.60 - \$0.65
INDUSTRIAL GROWTH	0.66%	▼	1.67%
SF DELIVERED (Includes New Inventory, BTS & BTS Expansion)	965,134 SF	▼	2.48M SF

INDUSTRIAL GROSS ABSORPTION BY SUBMARKETS



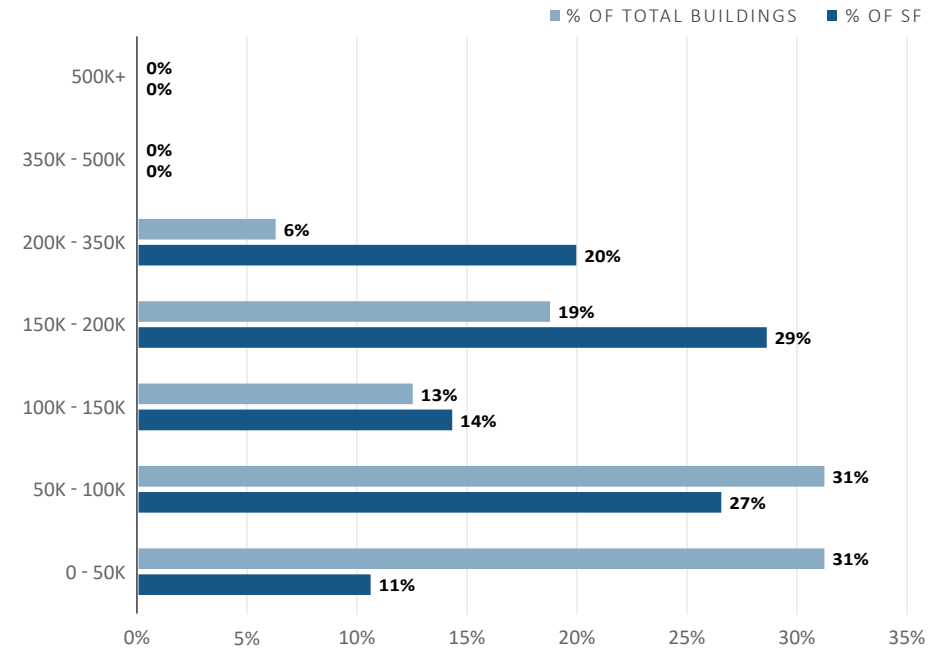
REPRESENTATIVE TRANSACTIONS : LEASE & SALES

TENANT	SF	INDUSTRIAL PARK	DEVELOPER	SUBMARKET	TYPE	FINAL USE	QUARTER
WALDOS	344,448	Miller Park	Miller	Cienega de Flores	BTS	Manufacturing	Q1
MUNTERS	162,500	GP Apodaca I	Garza Ponce	Apodaca	Inventory	Manufacturing	Q1
DANFOSS	161,460	GDS Business Park	GDS	Apodaca	BTS	Manufacturing	Q1
OATEY	143,946	MBP	Parks	Apodaca	Inventory	Logistics	Q1
PANTOS	102,893	Monterrey Industrial Park	Prologis	Apodaca	Inventory	Manufacturing	Q1

ABSORBED TRANSACTIONS BY SIZE Q1 2025 : BUILDING CLASS A & B

The Monterrey industrial market recorded 16 transactions at the end of the first quarter of the year. The Cienega de Flores submarket was the one with the largest transactions.

SIZE SF	TOTAL SF	% OF SF	NUMBER OF TRANSACTIONS	% OF TOTAL TRANSACTIONS
0- 50K	182,624	11%	5	31%
50K- 100K	458,480	27%	5	31%
100K- 150K	246,785	14%	2	13%
150K- 200K	494,160	29%	3	19%
200K-350K	344,448	20%	1	6%
350K-500K	0	0%	0	0%
500K +	0	0%	0	0%
TOTAL	1,726,497	100%	16	100%

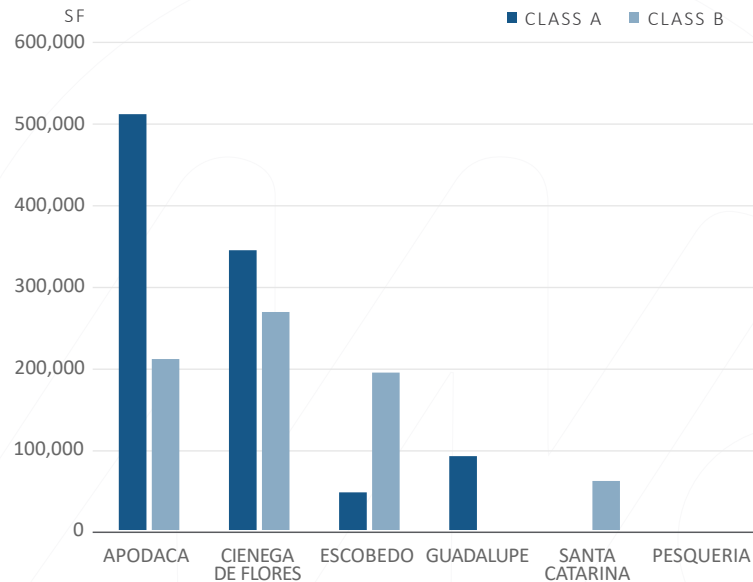


ABSORBED TRANSACTIONS BY SUBMARKET Q1 2025 : BUILDING CLASS A & B

SUBMARKET	0 - 50K SF		50K - 100K SF		100K - 150K SF		150K - 200K SF		200K - 350K SF		350K - 500K SF		500K+ SF		TOTAL	
	#TXN	SF	#TXN	SF	#TXN	SF	#TXN	SF	#TXN	SF	#TXN	SF	#TXN	SF	#TXN	SF
Apodaca	2	75,939	1	75,670	2	246,785	2	323,960	0	0	0	0	0	0	7	722,354
Cienega de Flores	0	0	1	98,108	0	0	1	170,200	1	344,448	0	0	0	0	3	612,756
Escobedo	1	46,285	2	193,752	0	0	0	0	0	0	0	0	0	0	3	240,037
Guadalupe	0	0	1	90,950	0	0	0	0	0	0	0	0	0	0	1	90,950
Santa Catarina	2	60,400	0	0	0	0	0	0	0	0	0	0	0	0	2	60,400
Pesqueria	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
TOTAL	5	182,624	5	458,480	2	246,785	3	494,160	1	344,448	0	0	0	0	16	1,726,497

INDUSTRIAL NET ABSORPTION BY SUBMARKET

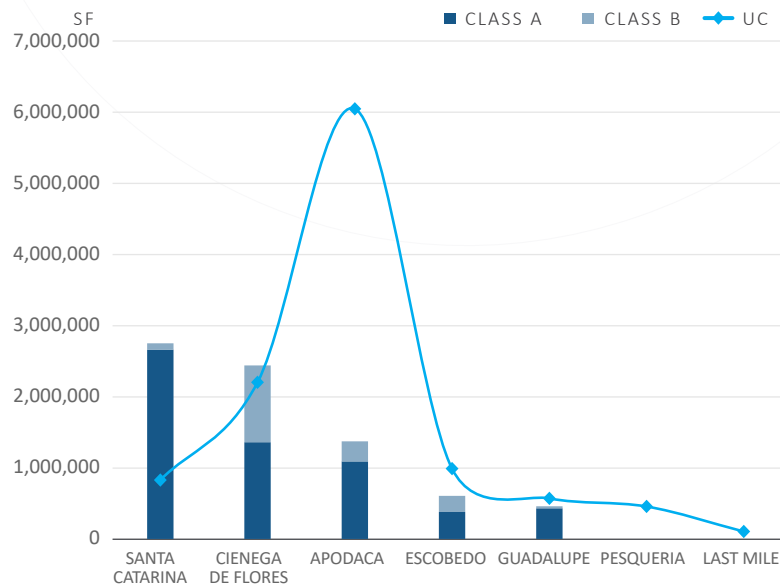
1,726,497 SF



GROSS ABSORPTION BY SUBMARKET (CLASS A & B)

Class A spaces were the most demanded, concentrating 57% of the market's gross absorption, while the demand for Class B spaces was mostly concentrated in the Apodaca, Cienega de Flores and Escobedo submarkets.

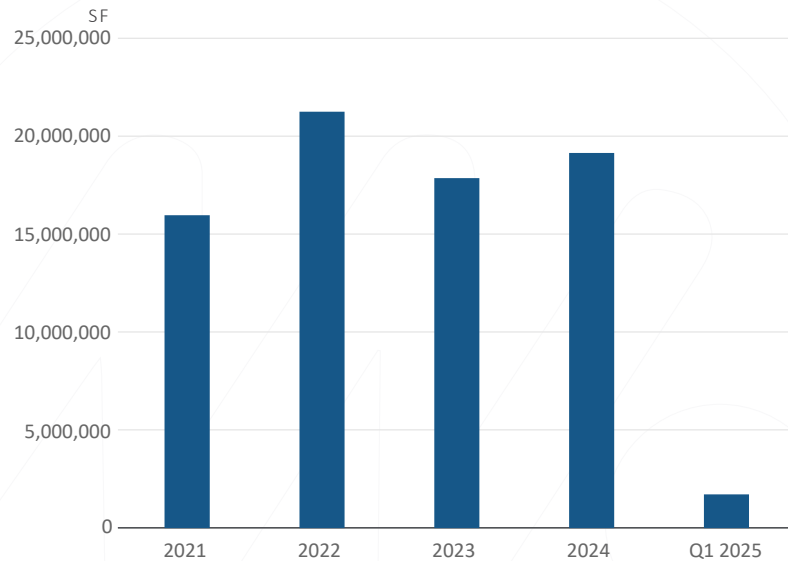
AVAILABLE INDUSTRIAL BUILDINGS BY SUBMARKET



AVAILABILITY & CONSTRUCTION BY SUBMARKET

During this first quarter, Monterrey's industrial market registered a significant increase in its vacancy rate, which currently stands at 5.08% with space under construction in all of its submarkets.

HISTORICAL INDUSTRIAL NET ABSORPTION



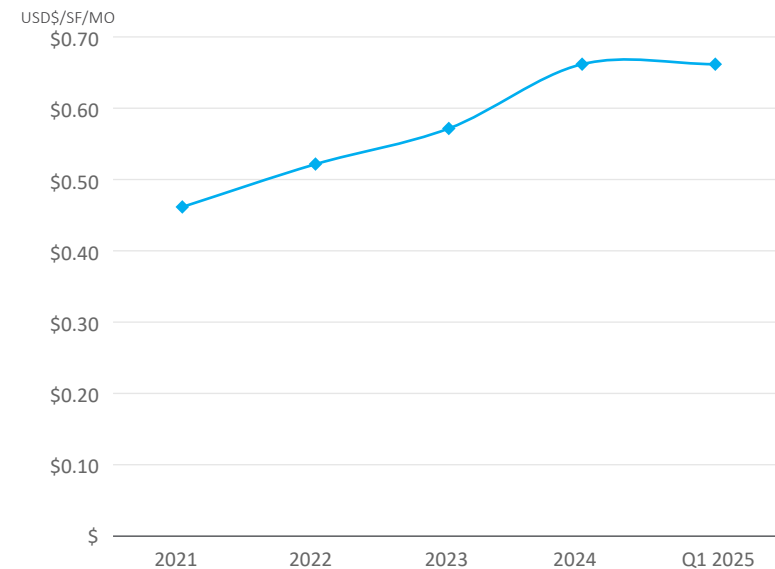
ASKING RATE

Prices in this market remained unchanged from recent quarters.

HISTORICAL GROSS ABSORPTION

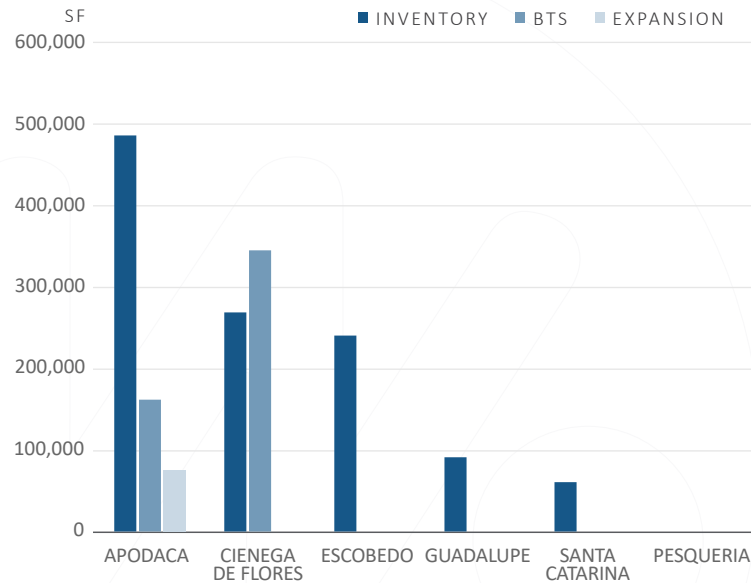
Gross absorption of industrial space in Monterrey decreased 66% year-over-year during the first quarter of the year.

HISTORICAL AVERAGE LEASE RATES FOR LIGHT MANUFACTURING INDUSTRIAL FACILITY



INDUSTRIAL NET ABSORPTION BY SUBMARKET

1,726,497 SF

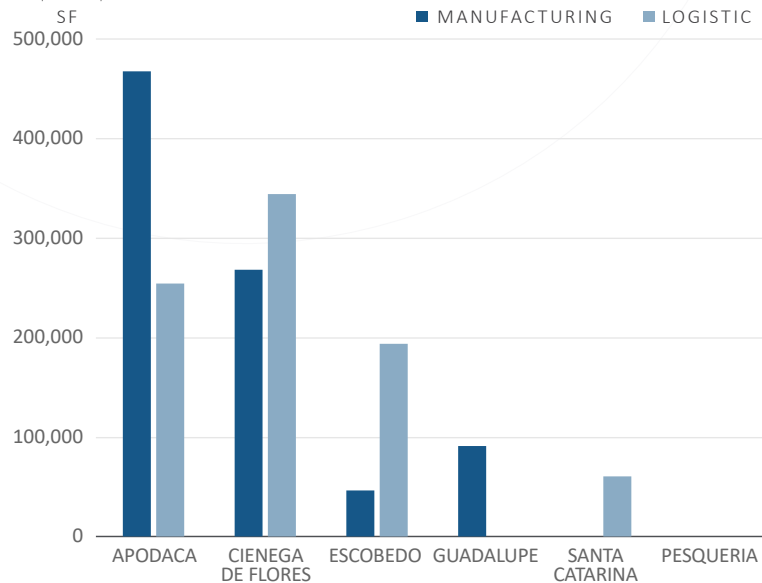


GROSS ABSORPTION BY INVENTORY/BTS/EXPANSION

Inventory space is the most demanded (66%), followed by BTS spaces (29%) and expansions in production plants (4%).

INDUSTRIAL NET ABSORPTION BY SUBMARKET

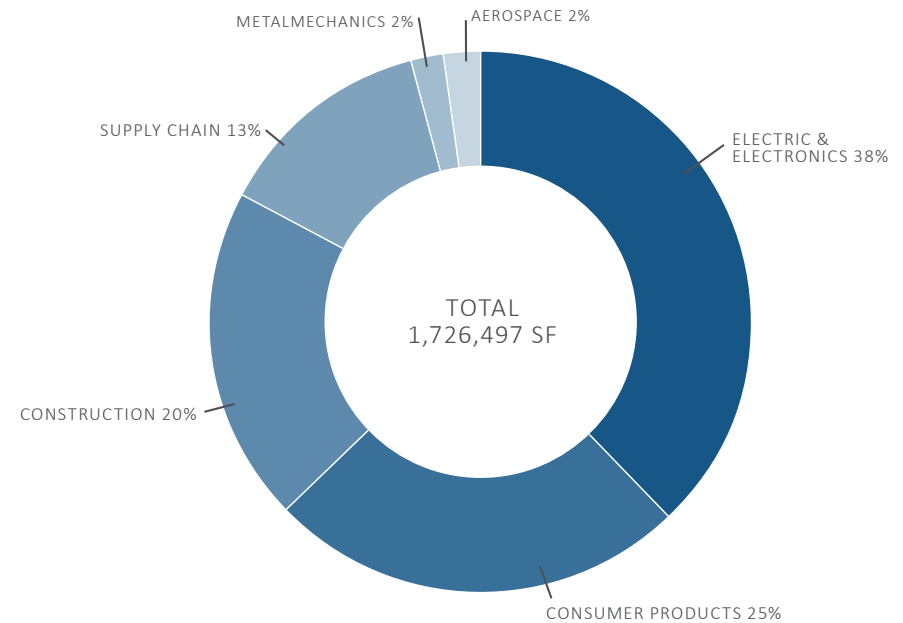
1,726,497 SF



GROSS ABSORPTION BY FINAL USE

Practically half of the demanded spaces had manufacturing processes as final use, which shows that logistic processes continue to gain relevance.

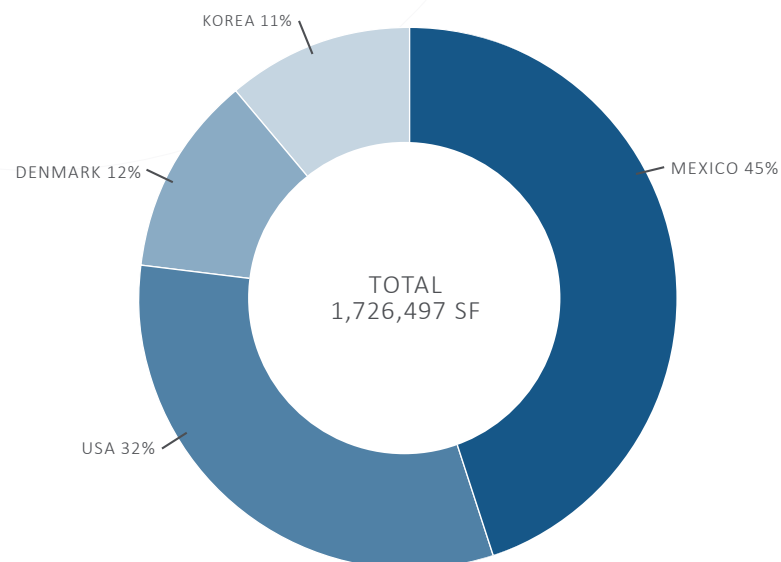
■ SQUARE FEET BY INDUSTRY



GROSS ABSORPTION BY INDUSTRY

The industrial diversification of the Monterrey market continues to increase, and at the end of this year, electrical and electronics, consumer products and construction industries generated more than 80% of the demand for industrial space.

■ SQUARE FEET BY COUNTRY



GROSS ABSORPTION BY COUNTRY

Mexican companies led the demand for space in Monterrey's industrial market, followed by American, Danish and Korean companies.



DATA GENERATING RESULTS

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